
Housing Affordability Pressure Across Five OECD Countries

A Cross-Country Analysis of Residential Property Prices, Household Income, Population Growth and Current Mortgage Conditions (2010–2023)

Executive Summary

Residential property prices have outpaced household income growth across most of the world's advanced economies since 2010, and the gap widened sharply after 2020. This report analyses that trend across five OECD countries — Hungary, New Zealand, the United States, Germany and Finland — combining residential property price, household disposable income, population and current mortgage-rate data for 2010–2023, with mortgage-rate indicators updated through 2025.

The analysis finds substantial differences across markets. Hungary shows the greatest sustained price-income divergence; New Zealand recorded the largest single-year affordability shock, in 2021. The United States and Germany also show significant and rising divergence, while Finland remains comparatively stable. Population growth is a weak predictor of affordability pressure, which means other drivers — housing supply, credit conditions, investor activity and planning regulation — are more likely explanations and warrant closer investigation. Divergence has more than doubled since 2020 relative to the pre-pandemic period, and current borrowing costs are highest in exactly the markets that already carry the largest historical gap — the United States, Hungary and New Zealand.

For management, the key takeaway is that affordability risk in these markets should be tracked using a combined indicator, not property prices alone, and that Hungary, New Zealand and the United States warrant the closest ongoing monitoring.

Purpose and Business Context

This report was prepared to give management a clear, decision-ready view of housing affordability trends across five OECD markets relevant to our current and prospective residential property and mortgage exposure. The core business question is whether property prices in these markets are becoming disconnected from household income — a dynamic that affects loan serviceability, market demand, investment risk and long-term planning assumptions.

Property prices, income and population were assessed together because each measure alone gives an incomplete picture: a market can see rapid price growth without real affordability pressure if income keeps pace, and population growth alone does not reliably explain price behaviour. The combined view identifies where affordability pressure is most severe and where further investigation should be prioritised. This report also incorporates current mortgage-rate indicators (collected via web data collection from central-bank and market sources) to give a live view of borrowing conditions layered on top of the 14-year historical trend.

Key Findings

1. Affordability pressure is concentrated in four markets, led by Hungary

Between 2010 and 2023, property prices grew materially faster than household income in four of the five markets, while Finland stayed close to balance. Hungary recorded the highest average annual divergence (4.51 percentage points per year) and the largest cumulative gap (63.14 percentage points) over the period. New Zealand, the United States and Germany also show substantial cumulative gaps — 47.03, 46.54 and 45.39 percentage points respectively — while Finland's gap was much smaller at 7.30 percentage points. Hungary is the clearest priority market; New Zealand and the United States also merit close attention given the size of the accumulated gap.

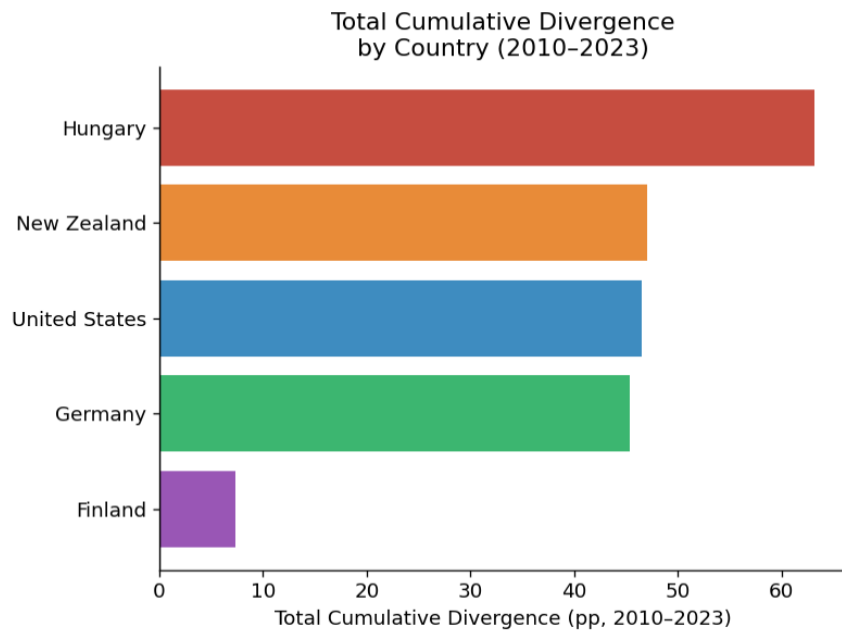


Figure 1. Total cumulative price-income divergence by country, 2010–2023.

2. Population growth does not explain affordability pressure

Population growth alone is a weak predictor of the price-income gap: the correlation between population growth and annual divergence is -0.13, explaining under 2% of the variation across markets and years. New Zealand combines strong population growth with high divergence, but Hungary shows the greatest sustained divergence despite a shrinking population, and Finland has modest population growth with low divergence. This means population trends should not be used as a proxy for affordability risk — housing supply responsiveness, credit conditions, investor activity and planning regulation are more useful lines of investigation.

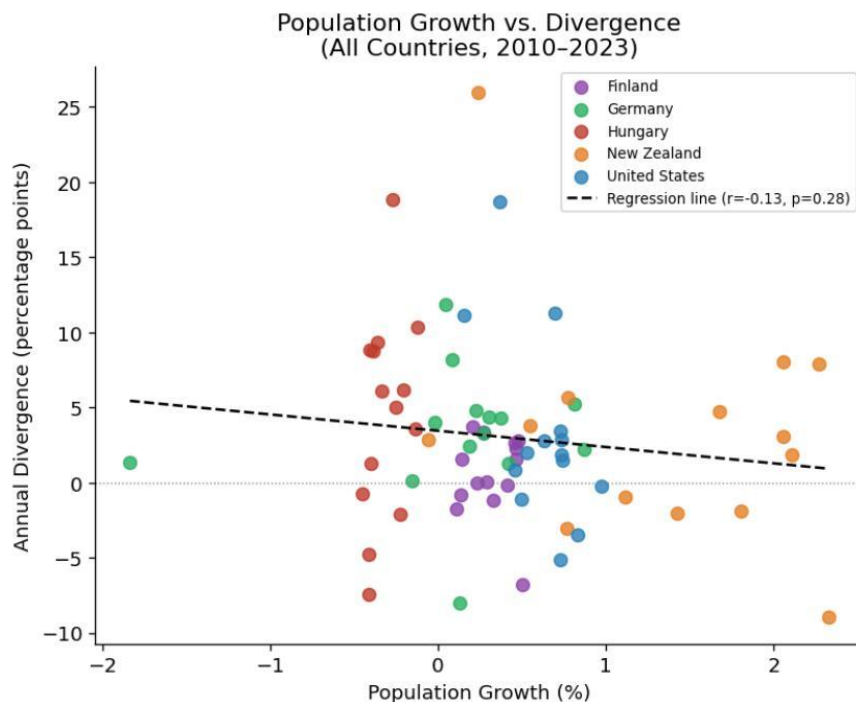


Figure 2. Population growth and annual price-income divergence, 2010–2023 (each point is one country-year).

3. Affordability pressure intensified sharply after 2020

Average annual divergence across the five markets rose from 2.08 percentage points before 2020 to 5.28 percentage points during 2020–2023. Hungary's divergence rose from 2.70 to 9.04 percentage points; the United States from 1.80 to 7.14; New Zealand from 2.40 to 5.75; and Germany from 2.94 to 4.01. Finland was the exception, holding steady and even declining slightly, from 0.55 to 0.45 percentage points. The post-2020 acceleration means recent affordability pressure is materially worse than the 14-year average suggests, particularly in Hungary, the United States and New Zealand.

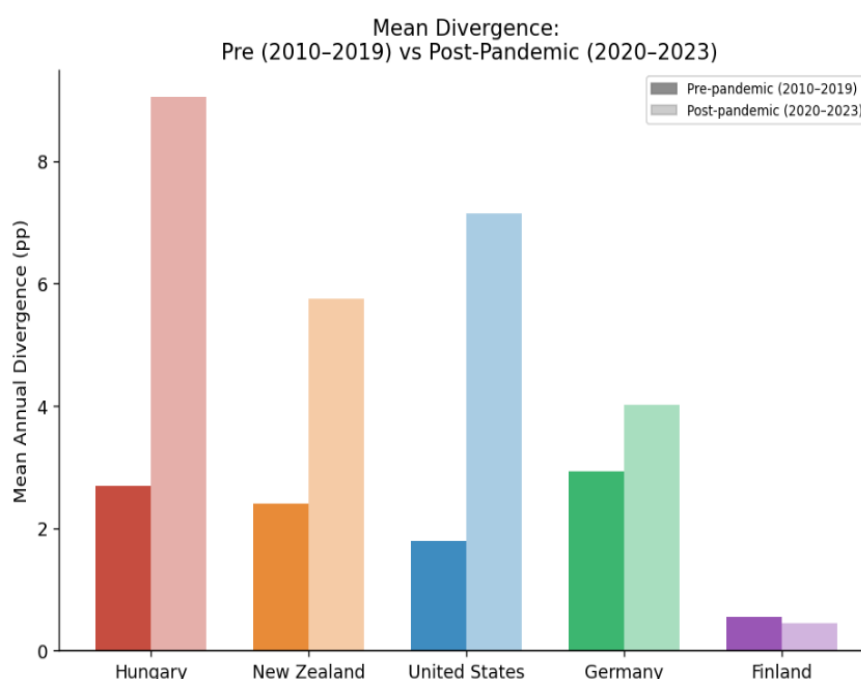


Figure 3. Mean annual divergence, pre-pandemic (2010–2019) vs. pandemic/post-pandemic (2020–2023).

4. Current borrowing costs compound pressure in already-stretched markets

The historical dataset runs through 2023 and does not capture current borrowing conditions, so mortgage- and policy-rate indicators were collected separately for 2024–2025 to add live context. Borrowing costs have risen from 2021 pandemic lows across all five markets, to an average current rate of 4.38%. The United States has the highest current rate (6.52%), followed by Hungary (5.25%) and New Zealand (4.67%) — the same three markets that already carry the largest historical price-income gaps. This points to a compounding risk: households and prospective buyers in these markets face both a larger accumulated affordability gap and higher current repayment costs.

Rate definitions differ across countries (mortgage vs. policy rates), so the figures below should be read as borrowing-cost context rather than a strict like-for-like comparison.

Country	2021 Rate (%)	Current Rate (%)	Change (pp)	% Increase
United States	2.75	6.52	3.77	137%
Hungary	1.75	5.25	3.50	200%
New Zealand	2.50	4.67	2.17	87%
Germany	0.50	3.08	2.58	516%
Finland	0.50	2.40	1.90	380%

Table 1. Current borrowing-rate indicators vs. 2021 pandemic lows.

Recommendations

1. Build a combined affordability monitoring dashboard

Track property price growth, household income growth and population growth together, rather than any single indicator in isolation, to give management early warning of building affordability pressure in markets we operate in or are exposed to.

2. Prioritise further investigation in Hungary, New Zealand and the United States

These three markets combine the largest historical price-income gaps with the highest current borrowing costs. Recommended next steps include deeper review of housing supply responsiveness, planning regulation, construction activity and credit conditions in each market before any expansion of exposure.

3. Use Finland as a comparative benchmark

Finland's comparatively stable outcomes make it a useful reference point. Examining differences in its housing finance system and planning framework may surface practices that reduce affordability risk elsewhere in the portfolio.

Conclusion

Housing affordability pressure increased materially across four of the five markets reviewed between 2010 and 2023, and that pressure has intensified since 2020. Population growth does not explain the divergence, which means the drivers are more likely structural — supply, credit and policy conditions that vary by market. For management, the clearest implication is that affordability should be monitored as a multi-dimensional risk rather than through property prices alone, with Hungary, New Zealand and the United States requiring the closest attention given current conditions.

Appendix: Summary Data (2010–2023)

Country	House Price Growth (%)	Income Growth (%)	Population Growth (%)	Divergence Score (pp)
Hungary	191.0	62.2	-4.1	128.8
United States	120.9	40.3	8.3	80.6
New Zealand	133.5	56.7	19.5	76.8
Germany	76.0	15.2	1.8	60.8
Finland	11.4	10.6	4.1	0.8

Divergence Score = House Price Growth (%) minus Household Disposable Income Growth (%). Positive values indicate prices growing faster than income.

Sources: Bank for International Settlements (Residential Property Price Statistics); OECD (Household Disposable Income, Historical Population); Reserve Bank of New Zealand, Magyar Nemzeti Bank, European Central Bank, Federal Reserve (FRED), Freddie Mac and Bank of Finland (current mortgage/policy-rate indicators).